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Entrepreneurial Finance 1 & 2

Introduction

This course is intended to give students an understanding of the entrepreneurial finance process. It covers the full range of entrepreneurial finance activities, focusing on a variety of deals – start-ups, growth investments and buyouts – from both the entrepreneur’s and the investor’s point of view. Class discussions will cover a broad range of topics, from assessing investment opportunities to structuring financings, from dealing with entrepreneurial management challenges to realizing value from one’s investment.

Objectives

Despite a proliferation of publications, it is difficult to find a single comprehensive source on the subject of entrepreneurial finance, partly because any given deal can involve so many variations on each issue and because there are often no clear answers to many issues. Indeed, it is this inherent ambiguity that makes the area frustrating for some people. The best way to learn about entrepreneurial finance is to be involved in lots of deals, learning from each and building upon your experience in addressing the variety of issues involved in each deal. This course is designed to serve as the beginning of that experience.

Content

There are four underlying themes that run throughout the course:

- *How to assess a new venture opportunity as an entrepreneur or an investor,*
- *How to value a privately-held company,*
- *How financing transactions are structured, and*
- *How entrepreneurs and investors exit from private companies.*

Intermingled with these themes are a wide variety of management issues and challenges that must also be addressed in financing and running an unquoted company.

Methodology

The primary course material will be a series of exercises and cases illustrating the different aspects of entrepreneurial finance. At the start of the course the cases are number intensive and require extensive preparation to understand the underlying methods.

The course is centered around case discussions, with written assignments to be prepared for several different cases. There will also be guest speakers who have been involved in entrepreneurial finance situations. Readings related to subjects being addressed in the cases are also included.

Students will prepare hand-ins based on selected cases. These papers are designed to give you more experience in addressing financing issues that are inherently ambiguous. Typically, this means that there is no single "right answer," so you must think through all the issues carefully to reach and defend your conclusions. It is important that you read carefully the "Individual Assignments" section at the end of this course outline and follow the instructions on those pages, as these are not traditional case write-ups. All relevant case exhibits in Excel format are available on the Virtual Campus (Blackboard).

One caution: This is not a course where you can learn by simply skimming the case before class and then picking up a few useful points from the class discussion. You will only learn if you struggle with the issues and do the relevant analysis and calculations beforehand to reach your own conclusions and then build on that experience through the class discussion. One learns about entrepreneurial finance from experience, and experience means doing the work!

Evaluation

Grading is based on a three factors: 50% participation, 30% individual assignments for classes and 20% group assignments. The individual reports basically are an in-depth preparation for a class. Student will select 5 out of all possible classes to submit an individual assignment. Contribution to class learning will be determined by active participation in class discussions both in terms of quality and quantity. Generally, you should prepare each case thoroughly, including all relevant calculations and deal structures, and be prepared to initiate class discussion and defend your conclusions. It is important that you display your name card at every session.

SE1 (Writing work – individual case submissions): 30%

SE2 (Presentation and report writing work – group submission): 20%

SE3 (Class participation): 50%

SE1: INDIVIDUAL ASSIGNMENTS: Take 5 out of 13

*All students must submit five written reports during the term. The report is a thorough class preparation addressing the case questions and should be about **one page** plus Exhibits (either in the submission or separate file). There are more possible opportunities to submit during the term, but you only have to submit 5 in total. Plan your term carefully to determine for which session you want to submit a report. Note that it will not be possible to make up for a missed written assignment.*

The individual report must be prepared individually. A few cases have numerical questions, which should always be prepared carefully for an individual submission. Be sure to defend your approach, major assumptions and conclusions in the text. Show the math for your calculations in the exhibits, but do not assume that your exhibits are self-explanatory — explain what you did and why in the text. (Please do not attach exhibits from the case.). Submit the report via Blackboard latest at midnight before the day of the class. Be prepared to be called out in class on your submission as we will discuss the cases and their associated questions in class. Submitted assignments will be evaluated as pass or fail - we provide feedback for any "fail" grade. Not submitting sufficient assignments is counted as automatic fail.

SE2: GROUP ASSIGNMENTS

Teams for Groups Exercises

We ask you to organize in teams of 5 following the first class. Teams will be assigned after the first class. The team has to meet regularly to prepare two deliverables

1. Mumate:

Your group will receive further details and instructions about the negotiation exercise (Mumate).

The negotiation involves your group negotiating with another group and one group assumes MuMate (entrepreneurs) and the other DuPage Ventures (VCs). You need to prepare a negotiation strategy based on the case and confidential case supplements. The confidential information will be shared early in the term. It contains information available only to your side and should NOT be shared or discussed with any other student besides those in your group. Allocate at least two hours of preparation and discussion to devise your negotiation strategy.

Submit the group assignment via virtual campus by midnight October 2nd.

You will receive comments on your strategy shortly after your submission, which you should then incorporate for the actual negotiation.

2. Hannah Andreotti:

Students will work in teams (teams to be assigned) using an MBO model to develop a financing structure for a buyout that maximizes the returns for both Hannah and her stakeholders. Each team should submit a PDF of "Exhibit 4 Cockpit," showing your results. Also, choose one person to present your team's results during the class session.

Submit your group slide via virtual campus by 12:00 noon CET on October 23rd.

Bibliography for participants interested in additional readings

- 1) *Fundamentals of Entrepreneurial Finance*, Marco Da Rin and Thomas Hellmann, 2020.
- 2) *Secrets Of Sand Hill Road*, Scott Kupor , 2019
- 3) *Mastering the VC Game: A Venture Capital Insider Reveals How to Get from Start-up to IPO on Your Terms*, Jeff Bussgang, 2010
- 4) *The Process of Forming the Company*, Nesheim, 2000.
- 5) *Frodsham, H. L. Getting between the Balance Sheet. The Four Things Every Entrepreneur Should Know about Finance.* Palgrave Macmillan, 2011.

Course Outline

Session	Title of session and material(s)
1	Setting up the Venture, The Cap Table <u>Focus:</u> In this session we will introduce the capitalization table and discuss how ordinary shares can be split among founders. <u>Case:</u> Betterkey (A): Setting up the Venture <u>Issues:</u> • What criteria do you use to assess a new business opportunity? Why? Offer thoughts on how the founders' stock should be allocated among Meri, Phil and Raphael. • Sketch out a proposed capital structure (co-founder, number of shares, share price, % of shares) for the new company. Take into account the founders' stock, Raphael's contribution of up to \$100,000, and any other considerations you think are relevant. • Discuss the other suggestions the founders are making while setting up the venture: a) reassignment of IP rights to Meri, b) salaries, c) founder vesting. • How would you try to manage the problems introduced by splitting the equity early? <u>Reading:</u> <i>Assembling the Startup Team, N. HBR 9-812-122</i> [Key elements to consider when allocating roles and responsibilities]

Session	Title of session and material(s)
2	Sources of Funding, Investment Rounds, Investment Size <u>Focus:</u> We discuss different sources of funding along their pros and cons as well as determining how much money to raise in the first place. We also consider how an initial investment by VCs would affect the capitalization table. <u>Case:</u> Betterkey (B): How much financing? And from whom? <u>Issues:</u> 1. How much money do you recommend should Betterkey raise over the 5 year period? Be prepared to justify your choices of sources and rounds and the year the financing is obtained. a. Make sure to cover: i. Total amount proposed to raise from investors ii. Number of rounds iii. Source of funds for each round (e.g. Angels, VCs..) 2. Imagine investor Dracarys Ventures makes an initial investment in Year 1 of \$1,000,000 for 40% of the company. Sketch out the capital structure following an investment (the number of shares and share price post-investment). (Tip: The original number of shares and split is within the case text. Question 6 has the answer for the revised share price!). 3. What are the pre- and post-money valuations for Betterkey based on the offer from Dracarys? 4. The founders feel that they need more money and want to ask Dracarys Ventures for \$2,000,000 upfront. Is this a good idea? 5. Imagine Raphael was not content with the new price per share of Dracarys Ventures offer and called a friend from a reputed business school about the proposed deal. His friend, the “Hodor”, crunched the numbers and realized that, with the proposal of Dracarys, the price per share would basically be around \$1.5. Hodor then told Raphael: If Dracarys is only willing to pay, at max, \$1.5 per share, you (the founders) should just increase your shares prior to the investment from 1,000,000 to 2,000,000. That way, the founders have more shares and ultimately can accrue more value. Determine if Hodor’s proposal makes sense. 6. Dracarys Ventures had a strange clause inserted into their termsheet which Raphael could not make sense of: “The parties have agreed that the company will have an option to repurchase some of the founders’ shares if the founders cease to work for the company. Founders’ shares vest 25% one year following the investment by Dracarys. The remainder of the founders’ shares vest linearly over a thirty-six-month period.” Raphael wondered what this meant and if he and the other founders would actually give up shares they already owned. What is your response to Rapahel’s concern? Is the demand from Dracarys Ventures reasonable? <u>Assignment:</u> Take 5 out of 13 Submit your report (regarding the issues not covered by survey) midnight prior to the class. <u>Reading:</u> <i>“Financing New Ventures” (HBS Note N9-811-093, 2011), HBS</i> [Get and understand of common sources of financing for new ventures]

Session	Title of session and material(s)
3	Valuation <u>Focus:</u> Every venture capital / private equity deal involves determining the value of the company. It is one of the most important – and most difficult – tasks an investor (and an entrepreneur) faces, and one needs to be thoughtful about how and when to use the various methods for valuing a company. You will need to apply these valuation techniques throughout the course. <u>Case:</u> Betterkey (C): Valuation <u>Issues:</u> Create a proposal to value BetterKey by using the different valuation methods in the case (DCF, Multiples, etc.). Note pros and cons for each valuation methodology. What other methodologies do you suggest using to value an early-stage venture? <u>Assignment:</u> Take 5 out of 13 • Submit your proposal to value BetterKey by midnight prior to the class. <u>Reading:</u> “A Method For Valuing High-Risk, Long-Term Investments (HBS Note 9-288-006, 2009)” [A thorough and detailed explanation of the venture capital method]
4	Financing instruments <u>Focus:</u> In order to understand a financing for a private company, it is essential to have a thorough understanding of the various financing instruments that one can use. You will need to know how these instruments work for all subsequent sessions. <u>Case:</u> Baltran <u>Issues:</u> • If Louise accepts the Sofina Ventures investment, how will Baltran's cap table look? What is the Series A share price? • What financing instruments beyond the ones in Exhibit 3 do you know? What are the key differences between the instruments? • Imagine the company gets sold for a) \$10 or b) \$100 mm. What proceeds would Sofina Ventures ultimately get using the different financing instruments from Exhibit 3? Assume a liquidation preference of 1x in all scenarios and, for the capped option, an aggregate of 4 times the original purchase. <u>Assignment:</u> Take 5 out of 13 • Answer the questions of the case and submit your report midnight prior to the class. <u>Reading:</u> “Financing Instruments”, LBS [Based on UK financing instruments, this important note focuses on theory in the first seven pages and then on more practical information.]

Session	Title of session and material(s)
5	Financing Terms <u>Focus:</u> This case describes the terms of a financing offer. Entrepreneurs as well as investors need to understand what such terms mean and the effects they can have on the development of the business and the ultimate value of each party's shareholding. <u>Case:</u> Nordic Technologies AB <u>Issues:</u> • Is the offer from Pan-European a good offer? Why / why not? • Is the valuation of this offer good for management? Why / why not? • How might the terms of this offer affect the company? • As Anders Ferm, how would you feel about the financing proposal? <u>Assignment:</u> Take 5 out of 13 • Answer the questions of the case and submit your report midnight prior to the class. <u>Reading:</u> <i>Terms – IESE FN 634</i> [Good discussion of key financing terms.]
6	Blitzscaling <u>Focus:</u> In the last few years a new Strategy for growing and financing Startups has been proposed. It is called Blitzscaling, and consists of growth at all costs often in the context of excess liquidity and low interest rates. We discuss some of tradeoffs between growth vs. value and address some of the key financial issues when scaling a business rapidly. <u>Cases:</u> WeWork (S1) <u>Issues:</u> • Has WeWork found product market fit? What is WeWork's competitive advantage? • Does Blitzscaling make sense for Wework? When does "Growth at any cost" Strategy, generally, make sense? • Assess Pros and Cons of WeWork's Financing Strategy? • If you are an Analyst/Associate at an Investment Bank, how would you value WeWork at the end of H1 2019? • You are Softbank. What do you do now (end of 2019) with no appetite for the proposed IPO? <u>Assignment</u> Take 5 out of 13 • Answer the questions of the case and submit your report midnight prior to the class. <u>Reading:</u> Hoffmann, Sullivan - Blitzscaling, HBR 2016

Session	Title of session and material(s)
7	Corporate Governance in Entrepreneurial Finance <u>Focus:</u> Quasi all corporate scandals have two aspects in common: bad ethics and weak corporate governance. It is also what sets great investment firms apart from average ones. This is not different in VC and PE. In this case we will discuss the importance of good corporate governance and how it looks like. <u>Cases:</u> Carefully study the original Pitch from Theranos – what is your reaction as investor or corporate partner. Then watch: Elizabeth Holmes: The 'Valley of Hype' behind the rise and fall of Theranos (Yahoo Finance) on youtube or in virtual campus. Key parts to learn what happened and address the prep questions are minutes 1-9 and minutes 14-40. I encourage you to also watch the rest of the video for additional context (Accredited investors, Founder Culture etc., Due Dilligence, the Board, Silicon Valley). https://www.youtube.com/watch?v=to2GSibbrv0 <u>Issues:</u> • What is your reaction to the original pitchdek from Theranos? • How do you define fraud? Were all investors (when making their investment) in the case of Theranos defrauded? • How did the board of governance fail? • Assess the due diligence by stakeholders in the case of Theranos make suggestions how to improve. • What lessons do you take away from the case as an investor, entrepreneur, employee or business partner? <u>Assignment</u> Take 5 out of 13 • Answer the questions of the case and submit your report midnight prior to the class. <u>Reading:</u> <i>Prentice, R., 'Good directors and bad behavior', Business Law & Ethics Corner, 2012.</i> [Reflect on key ethical questions in entrepreneurial finance]
8	The VC Perspective <u>Focus:</u> Understand the current funding environment in Silicon Valley for startups and the Silicon Valley Funding Model. <u>Cases:</u> Pear VC E630 <u>Issues:</u> • Pear did not have a specific industry focus for its investments. Do you agree with this approach? What are the pros and cons of remaining industry-agnostic as seed fund? • In the case, Hershenson mentioned that Pear VC typically allocated two-thirds of its funds to follow-on investments. How should Pear VC evaluate whether to allocate more (or less money to follow on investments)? • What are the most important terms of a seed round term sheet for Pear? • With regard to Pear's many initiatives to help founders and maximize deal flow (e.g. Pear Launchpad, Pear GSB,...) how can Hershenson and Nozad determine which initiatives are the most effective? How do they know if they are achieving strong deal flow? Should they expand to other locations and geographies? • What, if any, is the maximum fund size that Pear can raise when focusing on seed investments? Where do you see the biggest challenges? <u>Reading:</u> <i>Will be provided 2 weeks prior to class</i>

Session	Title of session and material(s)
9 and 10	Negotiation Exercise <u>Focus:</u> You will engage in a negotiation exercise in teams which will be assigned to you before. There are two sessions: 1) the negotiation, 2) the debrief, where we discuss your experiences. <u>Case:</u> MuMate (HBS: 9-813-085) <u>Assignment:</u> Group: Mumate (see back of the syllabus for instructions). Details provided during the term. Due 5th of October. <u>Reading:</u> <i>How to Negotiate with VCs, Harvard Business Review</i> [Useful guidelines for negotiating entrepreneurs.]
11	Bootstrapping <u>Focus:</u> Until recently it seemed that every entrepreneur had to raise as much capital as possible at the earliest stage possible. Now lean start-up models and smart financing strategies permit the creation of great businesses without outside investors. <u>Cases:</u> None <u>Issues:</u> • Is bootstrapping a financial strategy or simply a “failure to raise capital?” • What are the advantages and disadvantages of having outside investors? • Aside from investors and lenders, what other sources of capital can an entrepreneur use? <u>Reading:</u> <i>Venture Capital is a Hell of a Drug, TechCrunch</i> [Time for reflection: Is venture capital necessary? Is it good? Is it for me?]

NOTE : From this point on you will need to adjust your thinking now, as some of the approaches to valuation that we have been using thus far are not relevant with buyouts, which require a different way of looking at financings.

Session	Title of session and material(s)
12	Structuring a Buyout <u>Focus:</u> The majority of private equity deals involve some type of buyout. This session introduces the factors that must be considered in managing the buyout process and structuring a buyout financing. <u>Case:</u> Gordon Bell <u>Issues:</u> • What makes Gordon Bell a good buyout opportunity? • What price would you be willing to pay for the company? Why? • How would you structure the financing? • How do you determine if it is an acceptable deal for the investor? <u>Assignment</u> Take 5 out of 13 • Answer the questions of the case and submit your report midnight prior to the class. <u>Reading:</u> The Manager's Guide to Buy-Outs, BDO Stoy Hayward. [A useful step-by-step guide to buyouts.]
13	Navigating Entrepreneurial Growth Challenges in Emerging Markets <u>Focus:</u> Rahul Jain's entrepreneurial journey with Peach Payments underscores the critical challenges of scaling, fundraising, leadership, and strategic decision-making within the dynamic and fragmented African market. <u>Case:</u> Shesha Pay <u>Issues:</u> • What are the long-term implications of different financing alternatives, particularly on ownership dilution? • What personal, operational, and leadership challenges arise when scaling in Africa? • How can Rahul effectively manage high-stakes decisions and internal conflicts under pressure? <u>Assignment</u> Take 5 out of 13 • Answer the questions of the case and submit your report midnight prior to the class. <u>Reading:</u> The absolute worst thing about convertible debt. [Explores risks and challenges of using convertible debt in startups.]

Session	Title of session and material(s)
14	Buyout Models <u>Focus:</u> Structuring a buyout financing involves a variety of factors and moving parts which must be tied down and incorporated in a financing package that works for both the investor(s) and management. This case will give you an opportunity to work with a model to structure a buyout financing. <u>Materials:</u> Hannah Andreotti. How to make the Numbers Work. Excel Preparation Sheet <u>Issues:</u> • What are the critical elements of this buyout model? • What are the trade-offs that you had to make for the deal to work? • Is this a deal that you would do? Why / why not? • How would you change the buyout model if you were building it? <u>Assignment</u> Group: Hanna Andreotti - Submit your group slide via virtual campus by 12:00 noon CET on October 23rd (see more detailed instructions page 3). <u>Reading:</u> The Balance Between Debt & Added Value, FT/Tuck [Good discussion of the use of debt financing in buyouts.]
15	Three Sources of Value of a Buyout Opportunity <u>Focus:</u> Assessing a buyout opportunity involves assessing the business, the transaction, and the financing structure. We will examine all of this today. <u>Case:</u> Star Park <u>Issues:</u> • Is this a good buyout opportunity? Why / why not? • What are the factors that affect the price that Palamon can pay? • What price should Palamon offer for Star Parks? Why? • What issues must be solved before Palamon commits to a firm price? <u>Assignment</u> Take 5 out of 13 • Answer the questions of the case and submit your report midnight prior to the class. <u>Reading:</u> <i>Note on Leveraged Buyouts</i>, Tuck [Good introduction to buyouts.]
16	Exit Considerations <u>Focus:</u> This session will focus on the personal considerations when an entrepreneur faces an exit opportunity. For students who are not familiar with search funds, this case also provides an introduction. <u>Cases:</u> Marc Bartomeus and Spain's First Search Fund <u>Issues:</u> • What do you think of the search fund model? • In Marc's role, what is your assessment of the private equity offer? • What issues would concern you most? • What action(s) would you take? Why? <u>Assignment</u> Take 5 out of 13 • Answer the questions of the case and submit your report midnight prior to the class. <u>Reading:</u> <i>Note on Search Funds</i>, Tuck [A good introduction to this path for young entrepreneurs.]

Session	Title of session and material(s)
17	Leverage in Buyouts <u>Focus:</u> Large buyouts involve very complex financial structures underpinned by third-party debt. This case describes an unusual series of sequential (and large) buyouts and illustrates how such buyouts are financed. <u>Case:</u> Accolade Group (A) <u>Issues:</u> • Why were there so many follow-on buyouts with new investors? • How was additional value created following each buyout? • What were the reasons behind the financial structure of each deal? • As John Allen, what would you focus on at the end of the case? <u>Assignment</u> Take 5 out of 13 • Answer the questions of the case and submit your report midnight prior to the class. <u>Reading:</u> <i>Private Equity's Long View, Harvard Business Review.</i> [Good insights into what private equity firms focus on in a company.]
18	Trade Sales <u>Focus:</u> Trade sales are the most common route to liquidity for investors. In this session we will discuss various aspects of the trade sale process. <u>Case:</u> Tradetix (A) <u>Issues:</u> • What do you think of the way Hugh Paige went about building Tradetix and financing the company's development? • How would you assess the evolution of the company's strategy? • What is Tradetix worth at the end of the case? On what basis? • If you were in Hugh's position at the end of the case, what course of action would you advocate? Why? <u>Reading:</u> <i>The Company Sale Process</i>, HBS [Even though it is written from the perspective of the sale of a large quoted company, this note provides a good description of the trade sale process for any company. You can skip the tax issues, which are unique to the US.] <u>Assignment</u> Take 5 out of 13 • Answer the questions of the case and submit your report midnight prior to the class.

Session	Title of session and material(s)
19	Exiting via an IPO <u>Focus:</u> An initial public offering (IPO) is a way for entrepreneurs to retain management control of their company while also (i) securing additional capital to grow the business and (ii) achieving a return for their shareholders and themselves. This session will explore the IPO process. <u>Cases:</u> Flixbus (to be distributed 4 weeks prior to class) <u>Issues:</u> Questions will be share 4 weeks prior to class. <u>Assignment</u> Take 5 out of 13 Answer the questions of the case and submit your report midnight prior to the class. <u>Reading:</u> <i>Initial Public Offerings</i>, Ivey [A good description of the IPO process.]
20	Exiting through Acquisitions and IPOs: Opportunities, Pitfalls and Best Practices <u>Focus:</u> We will continue our discussion of the IPO process and the exit process through acquisition. <u>Cases:</u> Material will be handed out 1 week prior to the session.

Professor's Biography



Prof. Luis Martín Cabiedes

Senior Lecturer of Entrepreneurship

MBA, IESE, University of Navarra

Degree in Philosophy, Complutense University of Madrid

Luis Martín Cabiedes is Senior Lecturer in the Entrepreneurship Department where he teaches Entrepreneurship and Entrepreneurial Finance. He has a degree in Philosophy from the Universidad Complutense de Madrid, an MBA from IESE Business School, University of Navarra and a Financial Analyst Charter from CFA Institute.

In 1989, he joined the Europa Press Group, where he was co-president for 12 years.

In 1998, he started investing in early-stage tech startups. He initially operated as a business angel and then launched his own venture capital fund (Cabiedes and Partners) in 2009. He has invested in more than three hundred digital startups and Search Funds, including Ole, Privalia, Trovit, Deporvillage, Kantox, or more recently BlaBlaCar, Indexa Capital and Repli SL.



Prof. Thomas Klueter

Associate Professor of Entrepreneurship and Analysis of Business Problems

PhD, Managerial Science, University of Pennsylvania

MA from University of Pennsylvania and University College Dublin

Thomas holds a PhD in Managerial Science and Applied Economics from University of Pennsylvania, an MA from University of Pennsylvania and University College Dublin and a BA Science from Duale Hochschule Baden-Wuerttemberg. Prior to pursuing an academic career, he was a financial analyst and project manager at IBM and JP Morgan. In those functions, he was involved in several worldwide projects in corporate finance and business development.

Thomas' research interests lie at the intersection of strategic entrepreneurship and innovation. He focuses on how established and emerging firms manage technological change and the strategies firms pursue to develop and commercialize new technologies. His work has been published in Academy of Management Journal, Organization Science, the Journal of Management Studies, Research Policy, Nature Biotechnology and Sloan Management Review.



Prof. Heinrich Liechtenstein

Professor of Financial Management

Doctor of Business and Economic Sciences, University of Vienna

Master in Business Administration, IESE, University of Navarra

Degree in Business and Economic Sciences, University of Graz

Certified European Financial Analyst

Professor Liechtenstein specializes in entrepreneurial finance, governance of entrepreneurial families and Impact Investing. He is co-author on several publications on private equity. As a consultant, he collaborated with leading families and financial institutions and serves on the board of family-controlled foundations. Prior to his academic career, Professor Liechtenstein was engaged in LGT dealing with high-net-worth individuals. He also advised families within the Boston Consulting Group and established and sold two successful businesses.

Additional Information for Reporting and Accreditation purposes

Learning Goals & Learning Objectives

Rather than focusing on a set of specific competences, this course is about ways of thinking about the various issues involved in financing a venture and the potential effects that those issues can have on all parties involved – the entrepreneur, investors, and the company. It is assumed that students are already familiar with many of the competences involved in the course, some of them learned in various finance classes (such as DCF, Multiples); the emphasis here will be on what they actually mean and when, whether and how they apply. Finally, the course encourages students to take a holistic perspective considering a broad set of relationships between co-founders and organizational stakeholders and learn how to manage these relationships in a responsible way.

LG1: Entrepreneurial Finance mindset

- *Help students who anticipate starting, acquiring or running their own business; those who expect to be providing capital or consulting services to entrepreneurial businesses.*
- *Provide a broad perspective, along with a better understanding, of how the various elements involved in financing an entrepreneurial business can be managed to optimize the outcome for all parties.*
- *Comprehend perspective of entrepreneur during a financing round.*
- *Comprehend pros and cons of different financing options.*
- *Introduce different ways to value an entrepreneurial company.*
- *Assess term sheets.*
- *Learn factors that must be considered in managing the buyout process and structuring a buyout financing.*
- *Practice how to structure a buyout financing.*
- *Plan for exiting an entrepreneurial venture including an understanding of key issues underlying an initial public offering (IPO).*

Competences

Basic

CB6. Possess and understand knowledge that provides a basis or opportunity to be original in the development and / or application of ideas, often in a research context.

CB7. The students know how to apply the knowledge acquired and their ability to solve problems in new or unfamiliar environments within broader (or multidisciplinary) contexts related to their area of study.

CB8. The students can integrate knowledge and face the complexity of formulating judgments based on information that, being incomplete or limited, includes reflections on social and ethical responsibilities linked to the application of their knowledge and judgments.

CB9. Students know how to communicate their conclusions and the knowledge and ultimate reasons that support them to specialized and non-specialized audiences in a clear and unambiguous way.

CB10. Students possess the learning skills that allow them to continue studying in a way that will be largely self-directed or autonomous.

General

CG1. Expose and discuss business situations rigorously and effectively, using both formal and informal procedures, and providing relevant data to support their observations and conclusions.

CG5. Identify the catalysts for personal and organizational change to encourage entrepreneurial and innovative behavior that allows adaptation to change business environments.

CG7. Effectively distinguish and categorize relevant information for business decision-making.

Specific

CE01. Apply a structured and rigorous process of analyzing business situations that integrates all the business dimensions (personal, strategic, financial, etc.) and concludes with a reasonable and feasible action plan.

CE24. Value projects, assets, and businesses using various models (discounted cash flows, multiples, real options, liquidation value, accounting methods) and understand their limitations and implicit assumptions.

CE32. Ability to develop business plans, understanding each of the processes, which allow presenting business plans to real investors.

COP12: Explore alternative sources of financing for new businesses, such as crowdfunding, business angel, venture capital, and alternative stock markets.

COP13: Evaluate new businesses that still do not generate profits in the face of the first rounds of financing.

COP15: Apply new technologies to profitable business models. Know the concepts of scalability, monetization, crowdsourcing, etc.

Sustainable Development Goals (SDG)

SDG 9 – Industry Innovation and Infrastructure

SDG 16 – Peace, Justice and Strong Institutions

SDG 17 – Partnerships for the Goals